

University at Buffalo

Transaction Assumptions

Company	Ticker	Market Cap	Revenue	EBITDA	EBIT	Net Income	EV / Revenue	EV / EBITDA	P/E	Exit Assumptions	
Yext, Inc.	YEXT	\$685.00	\$448.00	\$64.90	\$37.00	\$26.40	2.3x	10.2x	21.0x	Multiple	5.0x
Mitek Systems	MITK	\$607.20	\$187.00	\$54.20	\$21.80	\$12.40	3.2x	13.3x	38.8x	Length of Investment	Year 6
Red Violet, Inc.	RDVT	\$565.90	\$102.00	\$35.00	\$16.00	\$13.00	6.4x	23.6x	32.5x		
Consensus	CCSI	\$513.24	\$349.70	\$186.67	\$150.24	\$84.53	2.98x	5.58x	6.07x		
Agora, Inc.	API	\$412.30	\$137.40	\$28.00	\$15.00	\$5.00	1.8x	9.7x	18.7x	Current Purchase Price Analysis	
Assumptions		Sources	Uses			Leverage & Pricing					
Transaction close	12/31/2032	Term Loan	\$382.23	Equity purchase price		\$615.88	Total Debt		\$944.23	Price per share	\$27.20
Circ break 1=on, 0=off	1	Equity	\$254.82	Transaction fees		15.63	Net Debt / '26 EBITDA		5.10x	Purchase price premium	20%
Transaction fees	1.5%			Financing fees		5.54				Per share offer price	\$32.64
Financing fees	1.5%	Total	\$637.05	Total		\$637.05	Implied Rating		B / B2	Shares outstanding	18.87
Debt	60%						SOFR		3.65%	Equity purchase price	\$615.88
Equity	40%						Spread (B Rating)		4.75%	Plus: debt outstanding	562.0
Post Purchase Equity	27%			CAGR		4.5%	Total Rate		8.40%	Less: Cash	(\$33.50)
										Firm Value	\$1,041.74

Income Statement

(\$mm)	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P	2031P	2032P
Total Revenue	362.56	350.38	349.70	356.01	365.99	379.91	398.16	421.27	441.51	464.20
COGS	(68.32)	(69.69)	(70.60)	(71.20)	(73.20)	(75.98)	(79.63)	(84.25)	(88.30)	(92.84)
Gross Profit	294.24	280.69	279.10	284.80	292.79	303.93	318.53	337.02	353.21	371.36
SG&A	(139.29)	(123.61)	(121.39)	(130.78)	(131.04)	(132.09)	(132.81)	(133.71)	(134.53)	(135.39)
Research and development	(7.73)	(7.68)	(7.46)	(7.67)	(7.86)	(8.12)	(8.48)	(8.77)	(9.10)	(9.45)
Operating Income (EBIT)	147.23	149.40	150.24	146.36	153.90	163.72	177.24	194.54	209.58	226.51
Interest Expense	(45.37)	(33.98)	(35.53)	(79.32)	(77.07)	(62.39)	(57.33)	(54.63)	(46.85)	(39.04)
Other Income (Expense)	1.30	6.82	(0.70)	(0.70)	(0.70)	(0.70)	(0.70)	(0.70)	(0.70)	(0.70)
Pretax profit	103.16	122.25	114.01	66.34	76.12	100.63	119.20	139.21	162.03	186.78
Income tax expense	(25.87)	(32.81)	(29.48)	(16.58)	(19.03)	(25.16)	(29.80)	(34.80)	(40.51)	(46.69)
Net income	77.30	89.44	84.53	49.75	57.09	75.47	89.40	104.41	121.52	140.08
Depreciation & Amortization	17.42	20.52	18.73	19.07	19.61	20.35	21.33	22.57	23.65	24.87
Stock-Based Compensation	18.16	16.76	17.69	18.01	18.52	19.22	20.15	21.31	22.34	23.49
EBITDA	182.81	186.68	186.67	183.44	192.02	203.29	218.71	238.42	255.57	274.87
Total Revenue Growth		(3.4%)	(0.2%)	1.80%	2.80%	3.80%	4.80%	5.80%	4.80%	5.14%
SG&A		(11.3%)	(1.8%)	7.7%	0.2%	0.8%	0.6%	0.7%	0.6%	0.6%
Research and development		(0.6%)	(2.9%)	2.8%	2.4%	3.4%	4.4%	3.4%	3.7%	3.8%

Gross Margin	81.2%	80.1%	79.8%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%
Operating Margin	40.6%	42.6%	43.0%	41.1%	42.0%	43.1%	44.5%	46.2%	47.5%	48.8%
EBITDA Margin	50.4%	53.3%	53.4%	51.5%	52.5%	53.5%	54.9%	56.6%	57.9%	59.2%
Tax Rate	25.1%	26.8%	25.9%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%

Net Working Capital Schedule

(\$mm)	2024A	2025A	2026P	2027P	2028P	2029P	2030P	2031P	2032P
Accounts receivable	24.92	23.69	24.11	24.79	25.73	26.97	28.53	29.91	31.44
Prepaid expenses and other current assets	16.06	18.79	19.13	19.66	20.41	21.39	22.63	23.72	24.94
Total Current Assets	40.98	42.47	43.24	44.45	46.14	48.36	51.17	53.63	56.38
Accounts payable and accrued expenses	36.48	36.05	36.70	37.72	39.16	41.04	43.42	45.51	47.85
Income taxes payable, current	1.07	0.10	0.06	0.06	0.09	0.10	0.12	0.14	0.16
Deferred revenue, current	20.71	19.77	20.13	20.69	21.48	22.51	23.82	24.96	26.25
Operating lease liabilities, current	2.15	2.58	2.58	2.58	2.58	2.58	2.58	2.58	2.58
Total Current Liabilities	60.41	58.49	59.46	61.06	63.30	66.23	69.94	73.19	76.83
Net Working Capital	(19.43)	(16.02)	(16.22)	(16.61)	(17.16)	(17.87)	(18.77)	(19.56)	(20.45)
Changes in Net Working Capital		3.41	(0.20)	(0.39)	(0.55)	(0.71)	(0.90)	(0.79)	(0.89)
% of sales	(5.55%)	(4.58%)	(4.56%)	(4.54%)	(4.52%)	(4.49%)	(4.46%)	(4.43%)	(4.41%)

Capital Expenditure Schedule

(\$mm)	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P	2031P	2032P
CapEx	(36.46)	(33.44)	(33.37)	(33.98)	(34.93)	(36.26)	(38.00)	(40.21)	(42.14)	(44.30)
% of sales	10.06%	9.54%	9.54%	9.54%	9.54%	9.54%	9.54%	9.54%	9.54%	9.54%

Free Cash Flow

(\$mm)	2026P	2027P	2028P	2029P	2030P	2031P	2032P
Revenue	356.01	365.99	379.91	398.16	421.27	441.51	464.20
% growth	1.8%	2.8%	3.8%	4.8%	5.8%	4.8%	5.1%
EBITDA	183.44	192.02	203.29	218.71	238.42	255.57	274.87
% margin	51.5%	52.5%	53.5%	54.9%	56.6%	57.9%	59.2%
Less: D&A	(19.1)	(19.6)	(20.4)	(21.3)	(22.6)	(23.7)	(24.9)
Less: SBC	(18.0)	(18.5)	(19.2)	(20.1)	(21.3)	(22.3)	(23.5)
EBIT	146.36	153.90	163.72	177.24	194.54	209.58	226.51
Less: Interest	(79.32)	(77.07)	(62.39)	(57.33)	(54.63)	(46.85)	(39.04)
Less: Other Income (Expense)	(0.70)	(0.70)	(0.70)	(0.70)	(0.70)	(0.70)	(0.70)
EBT	66.34	76.12	100.63	119.20	139.21	162.03	186.78
Taxes	(16.58)	(19.03)	(25.16)	(29.80)	(34.80)	(40.51)	(46.69)
% tax rate	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
FCF Build							
EBITDA	183.44	192.02	203.29	218.71	238.42	255.57	274.87

Less: Taxes	(16.58)	(19.03)	(25.16)	(29.80)	(34.80)	(40.51)	(46.69)
Less: Interest	(79.32)	(77.07)	(62.39)	(57.33)	(54.63)	(46.85)	(39.04)
Less: Capex	(33.98)	(34.93)	(36.26)	(38.00)	(40.21)	(42.14)	(44.30)
Less: Change in NWC	(0.20)	(0.39)	(0.55)	(0.71)	(0.90)	(0.79)	(0.89)
Cash available for discretionary debt paydown	53.36	60.60	78.93	92.86	107.88	125.29	143.95

Debt Paydown / Debt Schedules

(\$mm)	2024A	2025A	2026P	2027P	2028P	2029P	2030P	2031P	2032P
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Term Loan B

Beginning Debt		\$944.23	890.87	830.27	751.34	658.47	550.59	425.30
Less: Mandatory (1%)	(9.44)	(9.44)	(9.44)	(9.44)	(9.44)	(9.44)	(9.44)	(9.44)
Less: Discretionary paydown		(43.92)	(51.15)	(69.49)	(83.42)	(98.44)	(115.84)	(134.51)
Ending Debt		\$890.87	830.27	751.34	658.47	550.59	425.30	281.35
Est. SOFR	3.65%	3.65%	3.65%	2.50%	2.50%	3.00%	3.00%	3.25%
Spread (B Rating)	4.75%	4.75%	4.75%	4.75%	4.75%	4.75%	4.75%	4.75%
Total Rate		8.40%	8.40%	7.25%	7.25%	7.75%	7.75%	8.00%

Interest expense		79.32	77.07	62.39	57.33	54.63	46.85	39.04
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Revolver

Beginning Debt		70.00	64.00	64.00	64.00	64.00	64.00	64.00
Less: Discretionary paydown		(6.00)	-	-	-	-	-	-
Ending Debt		64.00	64.00	64.00	64.00	64.00	64.00	64.00

Interest rate	5.45%	5.45%	5.45%	5.45%	5.45%	5.45%	5.45%	5.45%
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Interest expense		3.65	3.49	3.49	3.49	3.49	3.49	3.49
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Total Interest Expense		82.97	80.56	65.88	60.82	58.12	50.34	42.52
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Total Debt Paydown

Beginning	\$	944.2	\$	890.9	\$	830.3	\$	751.3	\$	658.5	\$	550.6	\$	425.3
Paydown		53.4		60.6		78.9		92.9		107.9		125.3		143.9
End	\$	890.87	\$	830.27	\$	751.34	\$	658.47	\$	550.59	\$	425.30	\$	281.35

Current Net Debt / EBITDA	3.01x	5.10x	4.75x	4.20x	3.56x	2.88x	2.23x	1.60x
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Exit Analysis

(\$mm)	2025A	2026P	2027P	2028P	2029P	2030P	2031P	2032P
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Exit EBITDA	183.44	192.02	203.29	218.71	238.42	255.57	274.87
Exit multiple	5.0x	5.0x	5.0x	5.0x	5.0x	5.0x	5.0x

Exit value	\$917.19	\$960.10	\$1,016.46	\$1,093.55	\$1,192.11	\$1,277.87	\$1,374.34
Less: Debt	(890.87)	(830.27)	(751.34)	(658.47)	(550.59)	(425.30)	(281.35)
Plus: Cashflows	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Purchase price	(\$637.05)
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Debt 382.23

Equity of PE Firm	(\$254.82)	\$26.33	\$129.83	\$265.12	\$435.08	\$641.52	\$852.57	\$1,092.98
MOIC		0.1x	0.5x	1.0x	1.7x	2.5x	3.3x	4.3x
IRR		(89.67%)	(28.62%)	1.33%	14.31%	20.28%	27.32%	33.81%

Sensitivity Analysis

IRR: Purchase premium vs. exit multiple

Exit Multiple	Purchase premium					
	33.81%	10%	15%	20%	25%	30%
	3.0x	20.27%	18.29%	16.35%	14.43%	12.54%
	4.0x	29.84%	28.03%	26.27%	24.56%	22.89%
	5.0x	37.22%	35.48%	33.81%	32.18%	30.61%
	6.0x	43.28%	41.58%	39.95%	38.37%	36.84%
	7.0x	48.46%	46.78%	45.17%	43.61%	42.11%

IRR: SOFR vs. exit multiple

Exit Multiple	SOFR					
	33.81%	1.65%	2.65%	3.65%	4.65%	5.65%
	3.0x	17.16%	16.75%	16.35%	15.93%	15.51%
	4.0x	26.86%	26.57%	26.27%	25.98%	25.68%
	5.0x	34.27%	34.04%	33.81%	33.57%	33.33%
	6.0x	40.34%	40.14%	39.95%	39.75%	39.55%
	7.0x	45.50%	45.34%	45.17%	45.00%	44.83%

IRR: Revenue growth vs. exit multiple

Exit Multiple	Revenue growth rate					
	33.81%	2.14%	3.64%	5.14%	6.64%	8.14%
	3.0x	14.42%	15.40%	16.35%	17.26%	18.15%
	4.0x	24.52%	25.41%	26.28%	27.12%	27.94%
	5.0x	32.11%	32.97%	33.81%	34.62%	35.42%
	6.0x	38.28%	39.13%	39.95%	40.75%	41.54%
	7.0x	43.52%	44.35%	45.17%	45.97%	46.75%

IRR: Credit Rating vs. exit multiple

Exit Multiple	Credit Rating					
	33.81%	2.75%	3.75%	4.75%	5.75%	6.75%
	3.0x	19.98%	18.26%	16.35%	14.21%	11.79%
	4.0x	28.95%	27.67%	26.27%	24.75%	23.08%
	5.0x	35.95%	34.92%	33.81%	32.61%	31.31%
	6.0x	41.75%	40.88%	39.95%	38.95%	37.87%
	7.0x	46.73%	45.97%	45.17%	44.31%	43.38%